AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BB293

Financial Accounting in Context

MTA

2024-2025 / Spring Semester

Version C

10-April-2025

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Number of Exam Pages: 5 (including this cover sheet)	Time Allowed: 2 Hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except for graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinat
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Questions 1

Fatima owns a small business selling building materials. On December 31, 2024 she extracted the following trial balance.

Account name	*Debit ($)*	*Credit ($)*
Sales		321,090
Sales returns	4,748	
Opening inventory	45,490	
Purchases	171,274	
Purchase returns		1,670
Non-current assets at cost:		
Freehold property	96,226	
Equipment	21,080	
Motor vehicles	17,000	
Accumulated depreciation on:		
Equipment		2,600
Motor vehicles		5,120
Salaries and wages	7,060	
Insurance	1,600	
Motor expenses	2,000	
Advertising expenses	1,284	
Loan interest	3,000	
Receivables	28,720	
Allowance for receivables		1,972
Payables		24,260
Cash at bank	60,230	
Bank loan		23,000
Capital		80,000
	459,712	**459,712**

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The following information is relevant:

1- Closing inventory was valued at $39,656
2- Equipment is depreciated by 10% on straight-line basis.
3- Motor vehicles are depreciated by 15% on reducing balance basis.
4- Accrued wages at the end of 2024 amount to $1,660.
5- On October 1st, 2024 Fatima paid $1,200 for insurance which is valid until 31 September 2025.
6- Irrecoverable receivables of $1,200 need to be written off.
7- Fatima decides to increase the allowance for receivables to $2,572.
8- Fatima has taken goods worth $1,400 for her own use.

Required:

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1- Prepare Fatima's income statement for the year ended December 31, 2024.
2- Prepare Fatima's balance sheet as at December 31, 2024.

[20 + 20 = 40 marks]

Question 2

Explain the following:

a. Fundamental qualitative characteristics
b. The statement of changes in Equity

[10 x 2 = 20 marks]

Question 3

A new company, Start Ltd, issues 6,000 ordinary shares with nominal value of £1 issued at a price of £8 and 15,000 preference shares with a nominal value of 50p, issued at a price of £3.50.

Required

a. Calculate the ordinary share capital and premium and the preference share capital and premium for Start Ltd
b. Show how the ordinary and preference share capital and ordinary and preference share premium are recorded in the equity section of the statement of financial position.

[10 x 2 = 20 marks]

Question 4

Choose the correct answer.

1. Objective information regarding the transaction and its consequences for the financial performance and financial position of the company refers to which characteristics of financial information?

A. Complete
B. Neutral
C. Relevance
D. Reliability

2. Which type of company must have its own annual accounts audited by an external auditor?

A. Public

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B. Private
C. Non-Profit
D. All Above

3. An account that contains a sub-set of the information that is included in regular financial statements.

A. Abridged accounts
B. Nominal accounts
C. Audited accounts
D. Annual accounts

4. This kind of meeting may be held whenever it is needed and must be held by a PLC if its net assets have fallen to less than half of its called-up share capital.

A. Annual general meeting
B. Extraordinary general meeting
C. Class meeting
D. Power to call meeting

5. Each £1 ordinary share was then divided into 20 ordinary shares of £0.05 each. This means that instead of 100 shares of £ each, there were now

A. 4000 shares
B. 2000 shares
C. 1000 shares
D. 5000 shares

6. It is an issue of fully paid shares to existing shareholders free of charge, also in proportion to their existing shareholding. This method is available to both private and public limited companies.

A. Right Issue
B. Bonus issue
C. Premium issue
D. Divided payments

7. It is a useful device for obtaining security over a company's current assets, as it allows

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a company to deal freely with such assets and provides a wider range of assets that can be charged.

A. Fixed charges
B. Floating charges
C. Priority charges
D. All types of charges

8. "The financial statements did present a true and fair view, and had been prepared in accordance with UK GAAP and the *Companies Act 2006*" is an example of

A. Director report
B. Management report
C. Internal auditors report
D. External auditors report

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[2.5 x 8 = 20 marks]

End of Questions

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